India is one of the largest producers of oilseeds in the world. However, 50 per cent of its domestic requirements are today, met through imports, out of which crude palm oil and the RBD (Refined, Bleached and Deodorised) palmolein constitute about 77 per cent and soyabean oil constitutes about 12 per cent. The *Economic Survey 2012-13* provides some valuable and timely advisory inputs on the 'edible oil sector' of India in the following way –

i. Import dependence was about 3 per cent during 1992-93. The production of oilseeds, though it has increased in recent years (from 184.40 lakh tons in 2000-01 to 297.99 lakh tons in 2011-12), it has not kept pace with the demand for edible oils in India. Imports have helped raise the per capita availability of edible oils which has increased from 5.8 kg in 1992-93 increased to 14.5 kg in 2010-11.

ii. One instrument for promoting future domestic production is calibration of the import duty structure. Large imports of edible oils are primarily due to competitive prices of edible oils in the international market and the import duty structure which has been sharply reduced to *near zero* levels over time to protect consumers – India has such a high market share (in the world edible oil imports) that allows it to set some independent tariff policy that can meet both goals better.

iii. Considering the situation, it is time to frame a price band for edible oils in a manner that harmonizes the interests of domestic farmers, processors, and consumers through imposition of import duty at an appropriate rate.

iv. The import duty would also generate revenue, which could also be utilized for an 'oilseeds development programme'.

v. Recently the tariff value of all edible oils (which had remained unchanged since 2006) was updated to market levels. This is a right step for aligning the tariffs to current prices for edible oils in the international market. By freezing the tariff value, imports had become more attractive than domestic refining. Over time, domestic oil palm production may also gain.

vi. India is also fortunate in having a wide range of oilseed crops grown in its different agro-climatic zones, including high-value premium crops. Recently, export of edible oils in branded consumer packs